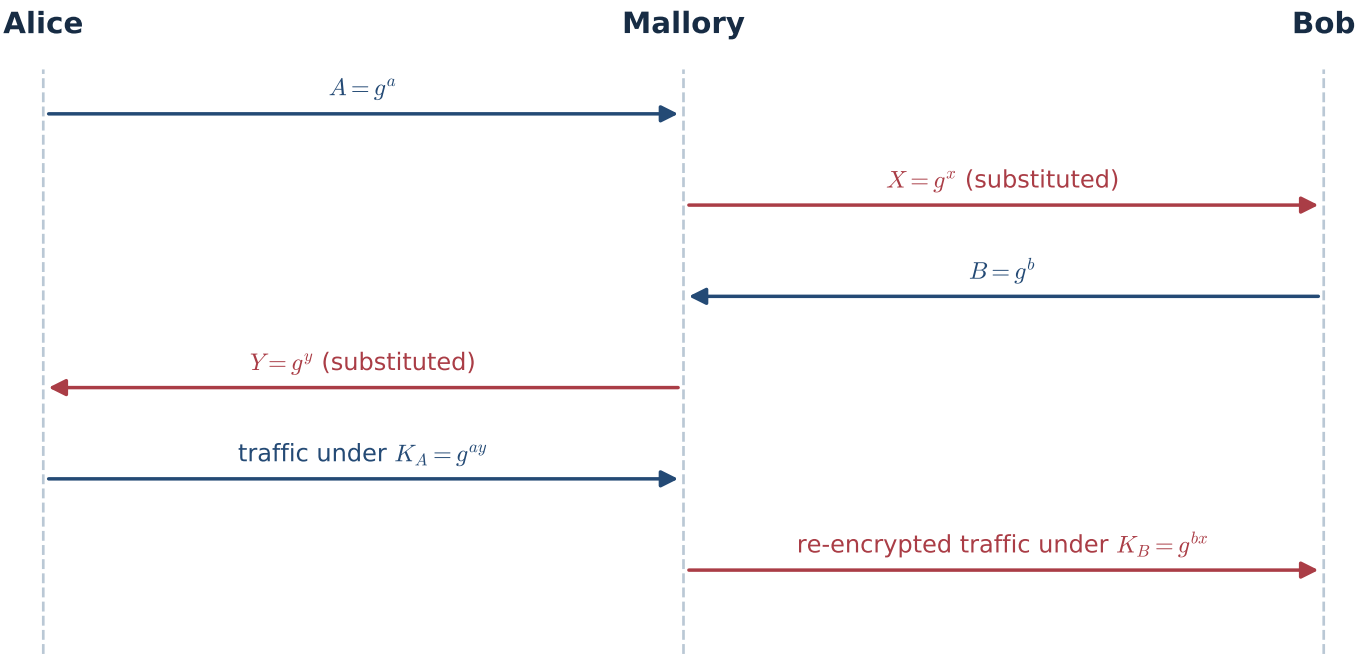

Mallory knows $K_A = A^y$ and $K_B = B^x$; Alice and Bob do not share one authenticated key.